

scanty assets: ZZZZ Best achieved a stock-market value of roughly \$200 million in the late 1980s, even though its purported industrial vacuum-cleaning business was little more than a telephone and a rented office run by a teenager named Barry Minkow. ZZZZ Best went bust and Minkow went to jail. Even as you read this, another similar company is being formed, and a new generation of “investors” will be taken for a ride. No one who has read Graham, however, should climb on board.

* In “Abou Ben Adhem,” by the British Romantic poet Leigh Hunt (1784–1859), a righteous Muslim sees an angel writing in a golden book “the names of those who love the Lord.” When the angel tells Abou that his name is not among them, Abou says, “I pray thee, then, write me as one that loves his fellow men.” The angel returns the next night to show Abou the book, in which now “Ben Adhem’s name led all the rest.”

* By purchasing more common stock at a premium to its book value, the investing public increased the value of AAA’s equity per share. But investors were only pulling themselves up by their own bootstraps, since most of the rise in shareholders’ equity came from the public’s own willingness to over-pay for the stock.

† Graham’s point is that investment banks are not entitled to take credit for the gains a hot stock may produce right after its initial public offering unless they are also willing to take the blame for the stock’s performance in the longer term. Many Internet IPOs rose 1,000% or more in 1999 and early 2000; most of them lost more than 95% in the subsequent three years. How could these early gains earned by a few investors justify the massive destruction of wealth suffered by the millions who came later? Many IPOs were, in fact, deliberately underpriced to “manufacture” immediate gains that would attract more attention for the next offering.

* The first four sentences of Graham’s paragraph could read as the official epitaph of the Internet and telecommunications bubble that burst in early 2000. Just as the Surgeon General’s warning on the side of a cigarette pack does not stop everyone from lighting up, no regulatory reform will ever prevent investors from overdosing on their own greed. (Not even Communism can outlaw market bubbles; the Chinese stock market shot up 101.7% in the first half of 1999, then crashed.) Nor can investment banks ever be entirely cleansed of their own compulsion to sell any stock at any price the market will bear. The circle can only be broken one investor, and one financial adviser, at a time. Mastering Graham’s principles (see especially Chapters 1, 8, and 20) is the best way to start.

1 This document, like all the financial reports cited in this chapter, is readily available to the public through the EDGAR Database at www.sec.gov.